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Postwar American Economics and the Fate of Countervailing Power

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(Received 14 October 2024; revised 17 July 2025; accepted 20 August 2025)

In 1952, Harvard economist John Kenneth Galbraith published one of his earliest best sellers, American Capitalism. Despite impressive traction among the public, the book sparked controversy among mainstream economists. Not only did Galbraith attack the failure of neoclassical economics to capture reality, but he also offered an alternative: the theory of countervailing power. Galbraith's vision of an economy of competing aggregates was cast aside, but the political and methodological grounds for this rejection merit a closer look. In this article, I reconstruct the academic debate sparked by the book's publication to demonstrate how thoroughly Cold War conformist politics influenced American economics in the postwar period. This had consequences both for Galbraith's theory and for the trajectory of economic methodology thereafter. As this episode suggests, a “neoliberal” economics shorn of ethical and social context congealed in the early 1950s—a historical hinge point with powerful reverberations into our present day.

“The birth, development, and subsequent career of an idea is something like that of a human. The parents have measurable control over the first two stages, but not the third.”

John Kenneth Galbraith, *American Capitalism* (1952)¹

On a frigid day in late December 1953, hundreds of suited men (and fewer than five women) congregated in the luxurious lobby of the Hotel Statler, located steps from the nation's White House where the Eisenhower family had taken up residence eleven months prior. The occasion was the sixty-sixth annual meeting of the American Economic Association (AEA), the premier professional organization for a discipline that was rapidly gaining both public prestige and private influence in the years

¹ John Kenneth Galbraith, *American Capitalism: The Concept of Countervailing Power* (1952) (New Brunswick, 1993), 16.

following World War II.² Calvin Bryce Hoover—a Duke economist and that year’s AEA president—had developed a quite ambitious theme for the year’s meeting. From various angles, economists were invited to address the question, “where [do] we stand with respect to the nature of our economic system and whether or not it differs *in essence* from what it was say seventy-five or fifty or twenty-five years ago?”³ The query engaged its audience in an exercise not merely of describing the American economy, but also of disciplinary and historical self-reflection. Had the theories that economists refined over the years lost their relevance amidst a newly transformed system? What was the institutional character of the changes, and could broad themes be identified? Did economists have the appropriate tools to earn their due as experts, or was consideration of new approaches necessary to maintain authority?

Hoover had predicted that these would be provocative questions.⁴ And he was right. For a community increasingly preoccupied with being seen as “practitioners of a rigorous, dispassionate, and apolitical discipline,” a handful of economists at the 1953 meeting exhibited an unusual baring of fangs.⁵ Ultimately, an arena was offered to engage in a battle of ideas—namely ideas about politics and ideas about method. Many of those attending the meeting could not have been fully aware, however, of how closely intertwined politics and method were at their precise moment, nor of the nature of their linked fate in the years to come. By pointing to one particularly illustrative episode, this article suggests that it was in the early 1950s that the seeds of American neoliberalism began to sprout. If we take neoliberalism to mean the economization of everyday life, the rise of market metaphors, and “thinking like an economist” in policy spheres and others, then the congealing of economists around a particular vision of their discipline in the 1950s is a wrinkle in the historical narrative worth unraveling.⁶ Moreover, it allows us to glimpse the outlines of roads not taken, and account for why

²Michael A. Bernstein, *A Perilous Progress: Economists and Public Purpose in Twentieth-Century America* (Princeton, 2001); Roger Backhouse and Philippe Fontaine, *The History of the Social Sciences since 1945* (Cambridge, 2010); John Markoff and Veronica Montecinos, “The Ubiquitous Rise of Economists,” *Journal of Public Policy* 13/1 (1993), 37–68; Mary S. Morgan and Malcolm Rutherford, “American Economics: The Character of the Transformation,” in Mary S. Morgan and Malcolm Rutherford, eds., *From Interwar Pluralism to Postwar Neoclassicism* (Durham, NC, 1998), 1–26; Mary S. Morgan, “Economics,” in Theodore M. Porter and Dorothy Ross, eds., *The Cambridge History of Science* (Cambridge, 2008), 275–305; Mark Solovey, *Shaky Foundations: The Politics–Patronage–Social Science Nexus in Cold War America* (New Brunswick, 2013).

³Calvin B. Hoover, “Institutional and Theoretical Implications of Economic Change,” *American Economic Review* 44/1 (1954), 1–14, at 7, added emphasis.

⁴“Programs, 1952–1953” and “Agenda Correspondence, 1953,” in Box 49, Calvin Bryce Hoover Papers, David M. Rubenstein Rare Book and Manuscript Library, Duke University, Durham, NC (hereafter Hoover Papers).

⁵Bernstein, *A Perilous Progress*, 152. See also Philip Mirowski, *Machine Dreams: Economics Becomes a Cyborg Science* (Cambridge, 2002); and Paul Erickson, Judy L. Klein, Lorraine Daston, Rebecca Lemov, Thomas Sturm, and Michael D. Gordin, *How Reason Almost Lost Its Mind: The Strange Career of Cold War Rationality* (Chicago, 2013). For a longer-range view of economists’ attempts to ape the natural sciences in an ideal that Dorothy Ross calls “scientism” see Dorothy Ross, *The Origins of American Social Science* (Cambridge, 1991).

⁶Though neoliberalism is a conceptually fuzzy phenomenon, this paper adopts the conceptualization by scholars like Dan Rodgers and Wendy Brown. See Daniel T. Rodgers, *Age of Fracture* (Cambridge, MA, 2011); and Wendy Brown, *Undoing the Demos: Neoliberalism’s Stealth Revolution* (Princeton, 2015). For “thinking like an economist” and a sociological treatment of economic “styles of reasoning” proliferating in the late

they were neglected. The decisive historical force, I argue, was a repressive political climate that raised the risk premium on expression of leftist and liberal politics. This not only emboldened conservative voices within the economics profession, but also stifled possibilities for solidarity and theoretical–methodological innovation in service of more progressive ideals. Fear, anxiety, surveillance, and silence cultivated an expanding segment of the profession’s “middle ground,” dominated by political neutrality, technicality, and neoclassicism.

These dynamics were on plain display at the 1953 AEA meeting. The center stage of conflict was the program’s opening panel, conceived of and organized by Hoover: a discussion of a highly reviewed book authored by a young, celebrity Harvard economist, John Kenneth Galbraith.⁷ *American Capitalism*, published in the early months of 1952, was Galbraith’s first major work to achieve widespread acclaim. An early appraisal by Adolf Berle—whose (1932) coauthored book with Gardiner Means was groundbreaking in establishing the corporation as a central feature of the American economy—declared that Galbraith had “produced a theory of capitalism which cannot be disregarded by anyone, though it will disturb many ... new territory he has sighted needs to be explored, mapped, and occupied.”⁸ Dedicated to his youngest son, Douglas, whom Galbraith and his wife Kitty had tragically lost two years earlier to leukemia, the book was written with the verve of a mind with much to prove and one steeped in an era of liberal confidence (months after its release, the reins to executive political power would change hands from a Democrat to a Republican for the first time in two decades).

Long involved in progressive politics, a top administrator at the Office of Price Administration during World War II, and a speechwriter–consultant to several notable Democratic politicians, Galbraith had already been a target for conservative thinkers for years preceding his AEA spotlight. His engagement with economic policy making, along with a prolific five-year stint as an editor for *Fortune* magazine, meant that Galbraith had many powerful allies and audiences outside the halls of academe. This also meant, for a country dominated by partisan politics, that he had many powerful enemies. Galbraith was a public intellectual and liberal elite par excellence, and hence an unsurprising victim of ire for those not sharing his political commitments.⁹ Moreover, he was a towering figure—six feet nine inches—with a measured yet commanding voice that spoke in lyrical metaphors not always accessible to communities

twentieth century see Elizabeth Popp Berman, *Thinking like an Economist: How Efficiency Replaced Equality in U.S. Public Policy* (Princeton, 2022).

⁷ Galbraith was forty-six years old at the time of the conference. Hoover had originally planned to hold a book reception celebrating the success of Galbraith’s book. This idea was vetoed by the AEA’s membership. Economists wrote to Hoover stating they would like opportunities to formally respond to Galbraith; consequently, a panel was planned instead. “Programs, 1952–1953” and “Agenda Correspondence, 1953,” Box 49, Hoover Papers.

⁸ Adolf A. Berle, “American Capitalism,” *Review of Economics and Statistics*, Feb. 1953, 81–4, at 84; Adolf A. Berle and Gardiner C. Means, *The Modern Corporation and Private Property* (New York, 1932).

⁹ For conservatives’ reactions to Galbraith in a later period see Angus Burgin, “Age of Certainty: Galbraith, Friedman, and the Public Life of Economic Ideas,” *History of Political Economy* 45 (2013), 191–219; Alexandre Chirat, “When Galbraith Frightened Conservatives: Power in Economics, Economists’ Power, and Scientificity,” *Journal of Economic Issues* 52/ 1 (2018), 31–56.

beyond the highly educated (though he *was*, in some sense, accessible to individuals unfamiliar with technical economics—earning him the frequent characterization of “writing for the layman”).¹⁰

It was perhaps easy to caricature Galbraith when it came time to discuss his 1952 contribution, and that is precisely what a few of Galbraith’s critics did as they responded to his “modest defense of a modest innovation” that December morning at the Statler. Economists knew they were in for some deliciously rare high drama as they poured into the conference room, taking seats on the ornately carpeted floor once all the chairs had been filled (see Figure 1). At the entrance to the room, one economist was heard whispering to a colleague, “Hey! Aren’t you coming to see ‘em clobber Galbraith?”¹¹

Clobbering was an apt description for the unspooling of events at the panel, titled “Fundamental Characteristics of the American Economy: Degrees of Competition, of Monopoly and of Countervailing Power: Theoretical Significance.” Following a brief seven-page paper in which Galbraith addressed his critics, to whom he had “long been wanting to address a loving word,” flaws in Galbraith’s argument were pointed out by five economists. The challengers included George J. Stigler of Columbia University (later a core member of the Chicago school and staunch defender of neo-classical assumptions of free competition), John Perry Miller of Yale University (whom Hoover invited to present a kindly view, yet whose commentary was ultimately doubtful on the whole), David McCord Wright of the University of Virginia (who admitted in a 1952 review that he and Galbraith had a “conflict of values,” with Galbraith representing a legacy of “Hamiltonian paternalism”), M. A. Adelman of MIT (an energy economist who had been engaged in debates over industrial concentration since the late 1940s), and Frank J. Kottke of the Federal Trade Commission (whose work primarily entailed the enforcement of anti-trust regulations).¹² Put simply, there were no sympathizers seated onstage with Galbraith, despite Hoover’s best efforts at finding even one.¹³ And given that this was a venue representing the beating heart of the profession, the absence of assenting opinions meant that Galbraith’s reputation as an idiosyncratic outsider would be cemented in the minds of many of his peers.

¹⁰For an authoritative biography of Galbraith, focused mainly on his life, politics, and (macro)economic thought, see Richard Parker, *John Kenneth Galbraith: His Life, His Politics, His Economics* (New York, 2005). See also Myron E. Sharpe, *John Kenneth Galbraith and the Lower Economics*, 2nd edn (White Plains, 1974); Charles H. Hession, *John Kenneth Galbraith and His Critics* (New York, 1972); Alexandre Chirat, *L'économie intégrale de John Kenneth Galbraith (1933–1983)* (Paris, 2022).

¹¹“When Galbraith Stood Up to Economists Clobbering Theory,” *Businessweek*, 9 Jan. 1954, 92.

¹²George J. Stigler, “The Ethics of Competition: The Friendly Economists,” in Stigler, *The Economist as Preacher* (Chicago, 1982), 14–26; Stigler, “The Ethics of Competition: The Unfriendly Critics,” in *ibid.*, 27–37; Harold Demsetz, “George J. Stigler: Midcentury Neoclassicalist with a Passion to Quantify,” *Journal of Political Economy* 101/5 (1993), 793–817; Box 49, Hoover Papers; “5/15/52 Review in Explorations in Entrepreneurial History by David McCord Wright,” in Series 03, Box 0011, John Kenneth Galbraith Personal Papers, John F. Kennedy Presidential Library, Boston, MA (hereafter Galbraith Papers); “Frank Kottke, 88, Retired Professor,” *Moscow-Pullman Daily News*, 18 Feb. 2002, at www.dnews.com/local-news-northwest/frank-kottke-88-retired-professor-cda98d2a.

¹³“Programs, 1952–1953” and “Agenda Correspondence, 1953,” Box 49, Hoover Papers.

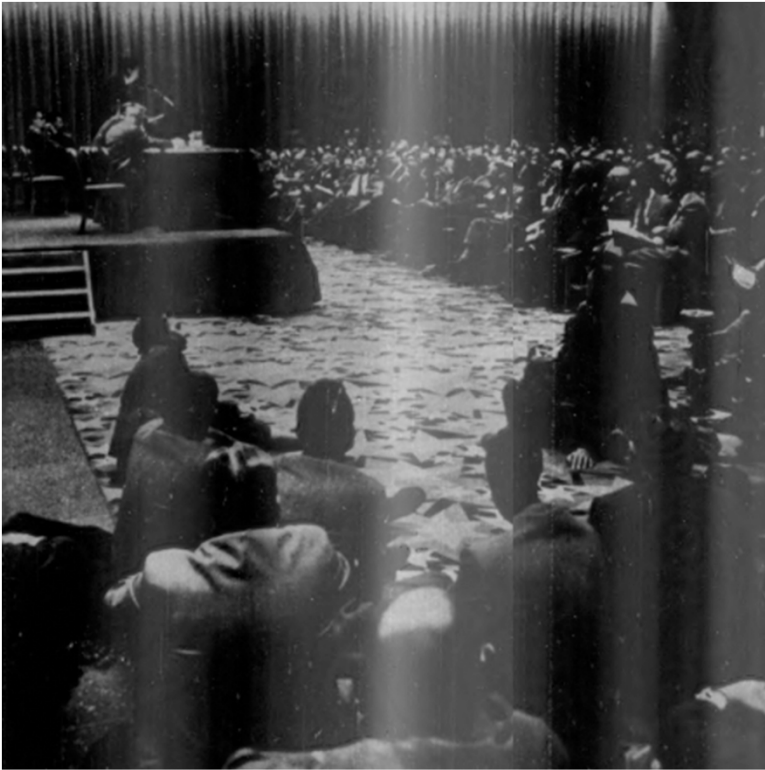


Figure 1. Economists gather (in chairs and on the floor) to hear Galbraith defend his theory of countervailing power at the 1953 AEA annual meeting in Washington, DC, 28 December 1953. From *Businessweek*, 9 Jan. 1954, 92–4.

“It has been an eye-opener to me to see how widely and strongly held and how extreme what I call the position of the ‘Chicago School’ has become,” Hoover confessed to Galbraith months before the program. Hoover further wrote, “I do not care for conflict for conflict’s sake (I am the most peacefully inclined guy you will ever meet!) but I do hope that where conflict exists it will not be buried from public view as though it were indecent.”¹⁴ Whether ideas of the Chicago school variety had in fact won as many faithful converts in the early 1950s as Hoover imagined cannot be known for certain, but the historiography suggests that the free-market ideological program moved from the margins to the mainstream of economic thought in later decades of the twentieth century.¹⁵ Yet the fact that Hoover could identify no panelist who would

¹⁴“American Economic Association 10/12/50–7/16/57,” Series 03, Box 0011, Galbraith Papers.

¹⁵Angus Burgin, *The Great Persuasion: Reinventing Free Markets since the Depression* (Cambridge, MA, 2012); Gary Gerstle, *The Rise and Fall of the Neoliberal Order: America and the World in the Free Market Era* (New York, 2022); Daniel Stedman Jones, *Masters of the Universe: Hayek, Friedman, and the Birth of Neoliberal Politics* (Princeton, 2012); Philip Mirowski and Dieter Plehwe, eds., *The Road from Mont Pèlerin: The Making of the Neoliberal Thought Collective* (Cambridge, MA, 2009); Rodgers, *Age of Fracture*.

express appreciation for Galbraith's book was telling. The failure to secure vocal allies should not be taken, however, as straightforward evidence for the growing appeal of the Chicago paradigm. Rather, it was the broader political climate of the times that rendered Galbraith's ideas untenable.

In other words, the debate sparked by Galbraith's *American Capitalism* was not merely a coordinated offensive against *Galbraith the person*. Though Galbraith's particularities are fascinating to consider, they are not the focus of this paper.¹⁶ I am concerned, instead, with the reception of Galbraith's main idea proposed in *American Capitalism*—namely his theory of countervailing power. More than just a catchy phrase, “countervailing power” was a radically new characterization of the American economy that flew in the face of the most fundamental assumptions of classical and neoclassical economics. Galbraith claimed that models of competition and efficiency could no longer account for the governing dynamics of the mid-century American system, which had seen the rise of large corporations and an increasingly interventionist state.¹⁷ In Galbraith's eyes, there were “gaps between the myth and the fact” of traditional economics. His ambition was not merely to critique conventional wisdom, but to offer an alternative theory seemingly more resonant with reality. Though his theory was ultimately “clobbered” and cannot be found among the gadgets comprising the mainstream economist's tool kit today, it is the aim of this article to retrieve Galbraith's concept from the dustbin of theoretical innovations.¹⁸ I do so not to evaluate its validity then or relevance now, but to understand the terms upon which its merits were weighed by a community of experts who were grappling with ambiguities around their ideological and methodological commitments, while also striving to maintain epistemic authority and political influence. Gaining a firm grasp on the intricacies of Galbraith's theory is a first step to appreciating the window this debate offers us into the politically charged world of postwar economists. In this world, a book that theorized economic power, domestic conflict, corporate organization, and enlightened government oversight struck, perhaps, one nerve too many in a body politic beset by anxieties.

The theory of countervailing power

American Capitalism began, in typical Galbraithian fashion, with a colorful analogy. Galbraith likened the American economy to a bumblebee, whose flight is considered

¹⁶For an account of the 1953 episode that focuses on “countervailing egos” see Craig Freedman, “Countervailing Egos: Stigler versus Galbraith,” *History of Economics Review* 27 (1998), 50–75.

¹⁷Galbraith's ideas on a reformed capitalism have much in common with the legacy of social liberal thought well documented in Howard Brick, *Transcending Capitalism: Visions of a New Society in Modern American Thought* (Ithaca, 2006).

¹⁸Within economics, the post-Keynesian school of thought is most committed to reviving Galbraith's program. For example, one article attempts to synthesize Galbraithian ideas with modern economic theory, writing that “his model is adaptable to mathematics ... theorems, price maker theory, game theory, and modal logic.” See Lal Ramrattan and Michael Szenberg, “Memorializing John K. Galbraith: A Review of His Major Works, 1908–2006,” *American Economist* 55/1 (2010), 31–45, at 44. See also Stephen P. Dunn and Steven Pressman, “The Lasting Economic Contributions of John Kenneth Galbraith, 1908–2006,” *Journal of Post Keynesian Economics* 29/2 (2006–7), 179–90.

impossible by scientific standards and yet manages to fly nonetheless. Similarly, “the quality of the performance of American capitalism” and “the absence of any plausibly enunciated alternative” was “remarkable.”¹⁹ Galbraith’s assessment was made amidst significant economic expansion following World War II, a period some scholars have hailed “the Golden Age of capitalism.”²⁰ In the United States, high growth rates were accompanied by full employment, decreasing levels of economic inequality, and a growing middle class.²¹ Median family income rose by 65 percent in real terms between 1939 and 1957.²² These movements coincided with trends of swelling state and corporate power, elements that Galbraith argued created apprehension among conservatives and liberals alike.²³ With the economic turmoil of the 1930s still fresh in their collective memory, many Americans viewed their present prosperity as “fragile and evanescent,” fearing that another catastrophic depression was right around the corner. Galbraith diagnosed this general attitude as “the insecurity of illusion” and sought to inspire confidence among his readers in the resilience of the American system. To do so, he recognized that the standards by which the system was judged would need to be seriously rethought.

The source of anxiety, Galbraith posited, was that intellectuals “were the captives of ideas” that “derive their ultimate authority from men of such Newtonian stature as Bentham, Ricardo, and Adam Smith.”²⁴ According to classical economic principles developed in the eighteenth and nineteenth centuries, aggregates of power would destabilize capitalism, potentially even leading society down a “road to serfdom.”²⁵ The competitive model, consisting of many buyers and many sellers acting freely in their self-interest, was presumed by many of Galbraith’s peers to be the defining feature of capitalism. Efficiency was guaranteed in this system because producers, facing stiff competition, could not maximize profits by raising prices—their customers would simply go elsewhere. Rather, producers sought strategies to maximize profits by minimizing costs, and introducing new technologies or efficient practices that would soon

¹⁹ Galbraith, *American Capitalism*, 8.

²⁰ Stephen A. Marglin and Juliet Schor, *The Golden Age of Capitalism: Reinterpreting the Postwar Experience* (Oxford, 1990).

²¹ John Patrick Diggins, *The Proud Decades: America in War and in Peace, 1941–1960* (New York, 1988); Steve Fraser and Gary Gerstle, *The Rise and Fall of the New Deal Order, 1930–1980* (Princeton, 1989).

²² James T. Sparrow and Andrew Abbott, “Hot War, Cold War: The Structures of Sociological Action, 1940–1955,” in Craig Calhoun, ed., *Sociology in America: The American Sociological Association Centennial History* (Chicago, 2007), 281–313, at 297.

²³ By 1949, total government expenditure in the United States had expanded nearly seventy-five-fold in less than fifty years, from \$521 million in 1900 to \$39 billion in 1949. See Stedman Jones, *Masters of the Universe*, 23. For a discussion of business consolidation leading up to mid-century, see Ralph L. Nelson, *Merger Movements in American Industry, 1895–1956* (Princeton, 1959).

²⁴ Galbraith, *American Capitalism*, 9, 1.

²⁵ Hayek—Galbraith’s contemporary and a leader in the revival of classical liberal principles—wrote, “The price system will fulfill [its] function only if competition prevails, that is, if the individual producer has to adapt himself to price changes and cannot control them.” See Friedrich Hayek, *The Road to Serfdom* (Chicago, 1944), 49.

be adopted throughout the market. In the model world of free competition, according to Galbraith, prices would be determined by the impersonal forces of supply and demand, with no economic entity holding outside influence to shape the process in their favor. The ultimate beneficiary (and also the ultimate sovereign) of this decentralized mode of economic decision making would be the consumer, whose welfare would be maximized through the natural give and take of the market, resulting in a blissful equilibrium.²⁶

Galbraith identified in this depiction of the economy an important elision. “Given its rigorous prescription of competition,” Galbraith claimed of the classical doctrine, “there was very little scope for the exercise of private economic power and none for its misuse. And with the private exercise of economic power so circumscribed, there was no need for public authority to regulate it.”²⁷ Galbraith was heavily influenced by Joan Robinson and Edward Chamberlin’s studies of oligopolistic and monopolistic competition, which he considered to be revolutionary for economics.²⁸ In the spirit of their analysis, Galbraith’s book provided empirical evidence for the transformed nature of American competition. Citing a string of economic studies beginning in the 1930s that demonstrated high levels of concentration in American industry, Galbraith asserted that economic power had become an unavoidable feature of twentieth-century capitalism.²⁹ And yet the system was thriving despite major departures from the competitive model. An alternative interpretation was needed that viewed concentration in another light.

Contrary to the prevailing liberal perspective that regarded powerful corporations as dangerous, Galbraith’s take was uncommon. “Such organization, far from being inimical to the operation of a free society, is actually a buttress to it,” Galbraith contended.³⁰ In his view, large-scale enterprise had been the source of much technological innovation and progressive change, and the desire to curtail its strength solely through antitrust measures was ineffective and misguided. This argument reflected a decades-old debate in the field of industrial organization (IO), with Galbraith representing the

²⁶For a traditional view see George J. Stigler, “Competition,” in John Eatwell, Murray Milgate, and Peter Newman, eds., *The New Palgrave: A Dictionary of Economics*, 1st edn, vol. 3 (1987), 531–46.

²⁷Galbraith, *American Capitalism*, 27–8.

²⁸Joan Robinson, *The Economics of Imperfect Competition* (London, 1933); Edward H. Chamberlin, *The Theory of Monopolistic Competition: A Re-orientation of the Theory of Value* (Cambridge, MA, 1933).

²⁹A 1949 study by the Federal Trade Commission revealed that for the year 1947, three firms controlled two-thirds of all business for a number of industries, including motor vehicles, cigarettes, aluminum, meat products, agricultural machinery, rubber, copper, and liquor. The Federal Trade Commission, *The Concentration of Productive Facilities, 1947* (Washington, DC, 1949). Economists in later years were to contest the evidence on industrial concentration. For opposing views see, for instance, M. A. Adelman, “The Measurement of Industrial Concentration,” *Review of Economics and Statistics* 33 (1951), 269–96; and J. M. Blair, “The Measurement of Industrial Concentration: A Reply,” *Review of Economics and Statistics* 34 (1952), 343–55.

³⁰“After Peace—Depression or Prosperity?” (1 May 1953), Series 09.2, Box 0790, Galbraith Papers. Galbraith claimed that there “must be some element of monopoly in industry if it is to be progressive.” Galbraith, *American Capitalism*, 88.

Harvard tradition, as opposed to the Chicago tradition.³¹ Galbraith's contribution to IO and to economic theory more broadly was his elucidation of a novel mechanism through which corporate power could be checked, one that he claimed was already pervasive in the postwar business climate.

Rising corporate power induced what Galbraith saw as an overlooked tendency in American capitalism: mobilization on the other side of the market into similarly large entities. "The existence of market power creates an incentive to the organization of another position of power that neutralizes it," he explained.³² Labor unions, trade associations, and mass retailers were the expected responses to business consolidation; they provided the countervailing forces that restrained the potential for market manipulation in corporate hands. In Galbraith's system, competition was thus reframed as being not between sellers and other sellers, but rather between powerful sellers and powerful buyers. "Competition which, at least since the time of Adam Smith, has been viewed as the autonomous regulator of economic activity and as the only available regulatory mechanism apart from the state, has, in fact, been superseded," Galbraith averred, referring to the mechanism of countervailing power.³³

The notion of countervailing power recognized the possibility for collective action among American citizens and was a unique attempt to codify the function of this group behavior into economic theory. It also provided justification against central planning in that it illuminated another market force capable of taming the transgressions of capitalist enterprise.³⁴ "Unrestrained economic power is still an enemy of the good society," Galbraith affirmed during his AEA presentation. Nevertheless, large-scale enterprise had become sufficiently widespread and gone "far beyond the limits set by the classical concepts." "The practical question," Galbraith asked his colleagues,

is what is practical? ... Are we, by legislative and judicial action, going to work a revolution in the American economy? The answer is no. The answer being no, we must then cherish the safeguards by which inherently weaker groups have found protection ... the economy is far more viable and its tensions are greatly alleviated because this protection exists.³⁵

³¹Alexandre Chirat and Thibault Guicherd, "Oligopoly, Mutual Dependence and Tacit Collusion: The Emergence of Industrial Organisation and the Reappraisal of American Capitalism at Harvard (1933–1952)," *European Journal of the History of Economic Thought* 29/1 (2022), 112–45; Nicola Giocoli, "Old Lady Charm: Explaining the Persistent Appeal of Chicago Antitrust," *Journal of Economic Methodology* 22/1 (2015), 96–122.

³²Galbraith, *American Capitalism*, 112.

³³*Ibid.*, 112. He did add a caveat immediately after: "not entirely, to be sure."

³⁴One of *American Capitalism's* most striking chapters is titled "Decentralized Decisionmaking."

³⁵John Kenneth Galbraith, "Countervailing Power," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting of the American Economic Association," *American Economic Review* 44/ 2 (1954), 1–6, at 6.

That American workers and consumers had found protection through countervailing power did not mean that the role of the state was erased from Galbraith's system, however. Where groups lacked sufficient resources to organize or negotiate on behalf of their interests, the government would step in to restore the balance. Galbraith turned to recent history to suggest the extent to which this had occurred:

Labor sought and received [countervailing power] in the protection and assistance which the Wagner Act [1935] provided to union organization. Farmers sought and received it in the form of federal price supports to their markets—a direct subsidy of market power. Unorganized workers have sought and received it in the form of minimum wage legislation ... These measures [were] all designed to give a group a market power it did not have before.³⁶

The assumption that the government would intervene in accordance with certain social objectives was thus embedded in Galbraith's theory. As one of his colleagues who shared Galbraith's enthusiasm for the labor movement wrote in private correspondence, "gains can be achieved only, as you have pointed out in your book, if and when disadvantaged groups organize themselves as a reform movement that *continuously requires governmental support for its effectiveness*."³⁷ As economic policy and public attitudes shifted after *American Capitalism*'s release, however, Galbraith's original perception of countervailing power as a timeless, "self-generating regulatory force" was dampened, even in his own mind.³⁸ That the success of countervailing power was contingent on a government that embodied ideals of balance and fairness became apparent gradually—and then precipitously—over the course of the latter half of the twentieth century. By the 1980s, Galbraith admitted that, "in 1952, carried away by the idea [of countervailing power], I made it far more inevitable and rather more equalizing than, in practice, it ever is," and that he had "taken an unduly sanguine view of the resulting equilibrium."³⁹ To understand the forces that set such a declinist trajectory in motion, let us find our way back to the stuffy conference room at the Statler, where a younger and more optimistic Galbraith was not only challenged by his peers, but labeled by one of them "one of the most effective enemies of both capitalism and democracy."⁴⁰

³⁶ Galbraith, *American Capitalism*, 136.

³⁷ Letter, Arthur Schweitzer to Galbraith, 12 Jan. 1954, Series 03, Box 00-11, Galbraith Papers, emphasis added.

³⁸ Galbraith, *American Capitalism*, 113.

³⁹ John Kenneth Galbraith, *A Life in Our Times: Memoirs* (New York, 1981), 284; Galbraith, *The Anatomy of Power* (Boston, 1983), 81. According to a later and otherwise sympathetic observer, *American Capitalism* was the only one of Galbraith's major works to carry "an aura of complacency." See Sharpe, *Galbraith and the Lower Economics*, 8.

⁴⁰ David McCord Wright, Frank J. Kottke, and M. A. Adelman, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 26–34, at 30.

The political blasphemies of countervailing power

Galbraith knew, before arriving in Washington, DC, that he was in for a shelling.⁴¹ In the early stages of *American Capitalism's* release, Galbraith admitted that he “had a vision of hundreds of hungry critics waiting only for the publication date in order to pounce on my hopeless product.”⁴² This despite an abundance of praise and favorable reviews in the popular press and from several heterodox economists.⁴³ Though countervailing power enjoyed success in other spheres, including business and policy schools, Galbraith expected that his book would stir up the academic economists’ nest.⁴⁴ This was a sound prediction, given that they were, after all, so explicitly castigated throughout *American Capitalism's* two hundred pages. What he may not have foreseen, however, was how overtly political the AEA reception came to be.

As he had written in the introduction to his book, Galbraith was aware that his argument would trouble both liberals and conservatives alike. Not directly addressed was how his account would be controversial in its relation not only to contemporary discourses of partisan politics, but also to other long-standing debates in American political life. The conglomerates of power that comprised the three-legged stool of Galbraith’s theory—corporations, labor, and government—were all phenomena whose merits had been fiercely debated by Americans for centuries.⁴⁵ Thus countervailing power brought many of these debates to the forefront, at a time when the sorting out of where thinkers stood on these issues seemed pressing. The urgency can be glimpsed in the fervor with which Galbraith was assailed at the Statler.

What is important to note is that the tone of the panel, and the panelists who spoke, were themselves not quite representative of the model 1950s economist. The period’s most prolific economists, including Paul Samuelson, Kenneth Arrow, Gérard Debreu, and Tjalling Koopmans, did not participate in debates or reviews of *American Capitalism*. Engaging in normative discussions around governance is perhaps precisely what the discipline encouraged postwar economists *not* to do. Galbraith’s respondents were those who were keen to engage in dialogue about politics, even if they framed themselves as protecting the discipline from the wrong kind of political biases:

⁴¹By August of 1953, an exhausted Galbraith turned down an invitation to publish a response to yet another critical review. “I have had to proclaim a unilateral cease-fire on the shelling I am receiving so I will remain in my shelter,” he wrote privately to the reviewer. Letter, Galbraith to Simon J. Whitney, 13 Aug. 1953, Series 03, Box 0011, Galbraith Papers.

⁴²Letter, Galbraith to Stuart Chase, 11 Feb. 1952, Series 03, Box 0011, Galbraith Papers.

⁴³Parker, *John Kenneth Galbraith*, 234–6.

⁴⁴A business economist at the University of Washington’s School of Business, R. Joseph Monsen Jr, wrote in 1963 that “the use of the term ‘countervailing power’ has become so common in business and sociological writing about contemporary America that it is hard to find current popular discussions in print that do not make at least some use of the idea.” R. Joseph Monsen Jr, *Modern American Capitalism: Ideologies and Issues* (Boston, 1963), 29–30.

⁴⁵Fraser and Gerstle, *Rise and Fall of the New Deal Order*; Gary Gerstle, Nelson Lichtenstein, and Alice O’Connor, eds., *Beyond the New Deal Order: U.S. Politics from the Great Depression to the Great Recession* (Philadelphia, 2019); Nelson Lichtenstein, *State of the Union: A Century of American Labor* (Princeton, 2002); Jennifer Klein, *For All These Rights: Business, Labor, and the Shaping of America’s Public–Private Welfare State* (Princeton, 2003); Benjamin C. Waterhouse, *The Land of Enterprise: A Business History of the United States* (New York, 2018).

Galbraith's. In other words, the AEA panel empowered those with an alternative, conservative set of political claims to make their case, and to do so in terms that resonated with the disciplinary and methodological standards of mid-century economics.

The panelist who was most direct about the normative stakes of Galbraith's book was UVA economist David McCord Wright. Wright attempted to spell out the moral foundations of Galbraith's model political economy. Beginning with an acknowledgment that he had already taken issue with countervailing power on technical terms in previous outlets, Wright shared that what he wished to do at the AEA meeting was to focus on the "underlying philosophy" of Galbraith's book, what he eventually called "the philosophy of stalemate": Galbraith's "few big business units countered by a few big unions, locked in a perpetual balance which neither side dares disturb, form a picture about as far removed from creative, democratic, competitive development as one can well conceive," Wright declared.⁴⁶ He placed Galbraith's ideas within a Platonic social structure wherein the enlightened few would determine what was best for the polity; these contradicted, in Wright's view, the American democratic tradition, the Jeffersonian ideal, and the ideas of the New Testament. Wright reiterated the tenets of a Protestant ethic: "the desire to use one's talents to the best of one's ability is neither ungenerous nor unchristian."⁴⁷

Whereas Galbraith viewed countervailing power as an interactive force for the disruption of stabilized power, Wright in a previous review associated Galbraith's idea with the "stagnationist economics of the labor movement" and doubted that it left sufficient scope for "social fluidity."⁴⁸ Wright accused Galbraith of having a "purely nominal" commitment to capitalism, claiming that Galbraith's economic structure seemed more like syndicalism than capitalism. For Wright, "genuine capitalism ... is a regime of independent, competitive (though not purely competitive) units with a wide measure of independence of policy, a great deal of social turnover and a reasonable chance for independent development."⁴⁹ Competition was what accounted for American success. In an earlier 1953 University of Chicago roundtable radio interview with Galbraith and Milton Friedman, Wright admitted why the issue felt so consequential: "My trouble is that I am historically minded. I see the movements in other countries."⁵⁰

Wright's impassioned critique vocalized a concern that occupied the minds of many economists in the conference room, regardless of their political leanings. What was the fate of freedom and democracy in a time of global political turbulence? And what were the consequences of accepting a theory like Galbraith's, which assumed that concentration had become a permanent feature of American society, to the exclusion of competitive forces? Whereas figures like Wright were naturally opposed to Galbraith's political perspective, the discipline's ultimate rejection of countervailing power was not achieved at their witting hands alone.

⁴⁶Wright, Kottke, and Adelman, "Discussion," 26.

⁴⁷*Ibid.*, 28.

⁴⁸"5/15/52 Review in *Explorations in Entrepreneurial History* by David McCord Wright," Series 03, Box 0011, Galbraith Papers.

⁴⁹*Ibid.*

⁵⁰"What Is American Capitalism? Roundtable Radio Discussion at UChicago," June 28, 1953, Series 09.3, Box 0882, Galbraith Papers.

Competition as a reiterated or recast ideal

The debate around countervailing power served as an entry point for a broader question that motivated the agenda of the 1953 AEA meeting: to what extent could the American economy still be characterized as competitive? And if it were still competitive, was competition more individualistic or organizational in nature?⁵¹ Galbraith had proposed not only that had the economy become highly institutionalized and corporatized, but also that traditional notions of competition (sellers versus sellers and buyers versus buyers) played less of a role in determining prices, wages, and outputs than did interest group forces in the form of countervailing powers. His alternative vision was not adopted by the overwhelming majority of the papers presented in the sessions following his panel, however. Instead, most economists engaged with more traditional theories of competition in their discussions of the American tax structure, the savings-investment process, international trade, and other themes. Some pointed to the number of studies since the publication of Galbraith's book that argued for the persistence of competition in new forms, such as interindustry and inter-product variations.⁵² Competition may have come to look differently at mid-century, many economists suggested, but it was still alive and well. As one concluded, "the old-fashioned apparatus of competition works in new ways to save us."⁵³

Though he did not take Galbraith by name, G. Warren Nutter, in his paper "Competition: Direct and Devious," lamented a recent trend among economists to emphasize the aberrational. "We have been gradually losing interest in the orderly, the regular, and the general aspects of economic relationships, so well summarized in Alfred Marshall's use of the word 'normal'; we have instead become preoccupied with the disorderly, the irregular, and the specific."⁵⁴ Only about 10 percent of national income was produced in sectors displaying conventional competition—mining, large segments of agriculture, and some manufacturing, Nutter illustrated through empirical testing. However, he clarified his understanding of competition: sometimes, competitive forces were delayed and discontinuous. In other words, while a firm may be able to capture profits temporarily due to behavior that seemed monopolistic in the short run, it would be a matter of time before other firms modified their processes to compete. Ultimately, Nutter concluded that genuinely noncompetitive conditions, whether caused by patent protections (i.e. government interference) or internal economies of scale, accounted for only 20 to 25 percent of national income.

Nutter's empirical conclusions were compatible with new perceptions of antitrust, industrial organization, and competition that were developed primarily at the Chicago school and taking hold more broadly in the 1950s.⁵⁵ A majority of economists in

⁵¹ Cf. note 3 above.

⁵² See especially paper by Ross M. Robertson, "The Changing Apparatus of Competition," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 51–62. See also Sumner H. Slichter, "The Growth of Competition," *Atlantic Monthly* (1953), 66–70.

⁵³ Robertson, "The Changing Apparatus of Competition," 53.

⁵⁴ G. Warren Nutter, "Competition: Direct and Devious," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 69–76, at 70.

⁵⁵ Anne Mayhew, "How American Economists Came to Love the Sherman Antitrust Act," *History of Political Economy* 30/4 (1998), 179–201; Steve Medema, "Wandering the Road from Pluralism to Posner:

the early twentieth century were skeptical of antitrust policies, often recognizing that the regulatory environment for industrial concentration had to go beyond antitrust and that concentration required a case-by-case policy approach.⁵⁶ Such a stance was especially characteristic of the Harvard tradition of IO. By mid-century, however, theoretical innovations that elaborated the mechanisms of competition had turned perfect competition into a holy aspiration, with the aim of economic policy being reoriented toward making the world accord with theory. Galbraith later argued that the antitrust approach to addressing economic power assumed passivity on the other side of the market. “In theory it is open to the seller of labor to hope that through public policy buyers or employers of labor will be made as numerous and as weak in the market as they are themselves. In practice no one thinks this is possible.”⁵⁷ In contrast, Galbraith’s concept of countervailing power had “legitimized fully the trade union, which had always enjoyed in the ... orthodoxy a slightly insecure position as an impairment of the otherwise pure current of competition.”⁵⁸ Yet this line of analysis would find no place among the mainstream.

Nutter’s paper was one of many at the 1953 meeting that claimed that competition was still a sufficient model to characterize the American economy. Arnold C. Harberger, after reaching a similar empirical conclusion to Nutter’s, claimed that “our economy emphatically does not seem to be monopoly capitalism *in big red letters*. We can neglect monopoly elements and still gain a very good understanding of how our economic process works and how our resources are allocated.”⁵⁹ Why were economists in 1953 so keen to emphasize and insist on competition? What alternative were they imagining?

Reading between the lines: Cold War as historical frame

As they approached the motivating question of the 1953 AEA meeting—*what was the state of competition in the American economy?*—many economists turned to a defense of competition as a crucial realm for the exercise of individual freedom. This was, of course, not a novel line of argument. Freedom and the market were intimately associated within the tradition of classical liberal economic thought.⁶⁰ What

The Transformation of Law and Economics in the Twentieth Century,” *History of Political Economy* 30/4 (1998), 202–24.

⁵⁶For example, see Berle and Means, *The Modern Corporation*. Mayhew explains that the majority of economists were not enthusiastic about the 1890 Sherman Antitrust Act. According to her, the Act was used most effectively against labor unions. See Mayhew, “How American Economists Came to Love the Sherman Antitrust Act.”

⁵⁷“Definition of Countervailing Power to Be Published in the 1979 Encyclopedia of Economics, Published by McGraw-Hill (four-page entry),” Series 09.2, Box 0823, Galbraith Papers.

⁵⁸Galbraith, “Countervailing Power: Memoir and Modern Reality,” in Clark Kerr and Paul D. Staudohar, eds., *Labor Economics and Industrial Relations: Markets and Institutions* (Cambridge, MA, 1994), 431–34, at 432.

⁵⁹Arnold C. Harberger, “Monopoly and Resource Allocation,” in American Economic Association, “Papers and Proceedings of the Sixty-Sixth Annual Meeting,” 77–87, at 87, emphasis added.

⁶⁰Milton Friedman and Rose Friedman, *Capitalism and Freedom* (Chicago, 1962); Jerry Z. Muller, *The Mind and the Market: Capitalism in Modern European Thought* (New York, 2002); Annelien de Dijn, *Freedom:*

made the arguments in 1953 distinct, however, was how often they were made from a comparative vantage point.

"It is of interest to note that, in times when production expansion is needed, the very competitive, American type of agricultural organization appears to be much more responsive than the authoritarian structure which prevails in some of the European countries," stated M. R. Benedict, for example, in a paper on agricultural policy. His presentation took an even darker turn when he asserted that "if a reduction of output is desired ... their methods of removing unwanted production and unwanted producers are far more effective than ours."⁶¹ There was a gap between the competitive ideal and the reality of capitalism, admitted Gottfried Haberler, but this gap was much bigger for models of the socialist system: "the gulf which separates ideal planning of the Lerner and Lange type from actual economic policy as practiced in large parts of the world today is as wide as the Pacific Ocean compared with the discrepancies [in the competitive model]."⁶² In a discussion on the state of entrepreneurship, Frank H. Knight also offered his audience a peek through the Iron Curtain. "The alternative to private entrepreneurial 'competition'—to make a gain and avoid a loss—would be the assumption of the function by 'the state,' using the sanctions of the criminal law, as we have seen undertaken in Russia."⁶³ Centralized state power, exemplified by totalitarian regimes across the sea, became for many economists a contrasting background against which the relatively benign forces of competition were thrown into relief. "Government spending is inherently coercive and rests upon a transfer of economic power from the people to political authorities," claimed George Hildebrand.⁶⁴ And Glenn L. Johnson said, "The competitive system becomes an end in itself largely because of its efficiency in reflecting non-coerced consumer choices to producers as a basis for resource allocation."⁶⁵

Anxious references toward totalitarian systems among a group of social thinkers living amidst the height of McCarthyism should not, on the one hand, surprise us. Some

An Unruly History (Cambridge, MA, 2020); Glory M. Liu, *Adam Smith's America: How a Scottish Philosopher Became an Icon of American Capitalism* (Princeton, 2022).

⁶¹M. R. Benedict, "Attempts to Restrict Competition in Agriculture: The Government Programs," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 93–106, at 106.

⁶²Gottfried Haberler, "The Relevance of the Classical Theory under Modern Conditions," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 543–51, at 549.

⁶³Frank H. Knight and Andreas Papandreou, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 63–8, at 64. In his discussion, Knight reiterates a definition of economics similar to the one given by Robbins in 1932, i.e. the allocation of scarce resources toward desired ends. For an account of the gradual acceptance of this definition within the discipline see Roger E. Backhouse and Steven G. Medema, "Defining Economics: The Long Road to Acceptance of the Robbins Definition," *Economica* 76 (2009), 805–20.

⁶⁴George H. Hildebrand, "Defense Expenditures and the Problem of Deflation," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 410–22, at 418.

⁶⁵Glenn L. Johnson and H. B. James, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 116–20, at 119.

economists were themselves émigrés from totalitarian regimes.⁶⁶ Others were applying their economic expertise directly to Cold War objectives via employment at think tanks and agencies like the Rand Corporation and the Institute for Defense Analysis.⁶⁷ Several were associated with a concerted political effort to reinstate classical liberal principles and defend free markets, epitomized by the Mont Pèlerin Society founded by Friedrich Hayek in 1947.⁶⁸ Economic thinkers, like other intellectuals of their time, were anxious about the state of geopolitics and the future of capitalist democracy.

In his *American Capitalism*, Galbraith had offered a theory that was optimistic about aggregated power and the ability of an enlightened, activist state to ensure harmonious economic conditions. Instead of *looking back through time* at the ways in which power had served as a source of American prosperity alongside Galbraith, however, many economists opted to *look across space* at the ways in which power elsewhere had served as a source of terror and destruction. Understanding the anxieties plaguing Galbraith's peers in the early 1950s allows us to see the "clobbering" of countervailing power in a slightly more nuanced light. Applying this historical frame lets us sense the mental imagery that economists may have conjured when processing a question like the one posed by James M. Buchanan at the 1953 meeting: "do not all theories of countervailing power reduce to apologetics for power itself?"⁶⁹

Several historians have taken a long view in analyzing developments in economic, political, and social thought across the twentieth century. Many agree that whereas conceptions of the social sphere (including markets, political organizations, or cultural communities) were "thicker" in earlier periods of the century, this mode of thinking eventually gave way to a more atomized approach to scholarly inquiry—a "thinning out" of the social.⁷⁰ Mutualistic and communal conceptions of society are largely thought to have receded most dramatically in the 1970s, in what Dan Rodgers famously calls the "age of fracture." The widespread legitimization of free-market ideology in both economic policy and the public sphere fundamentally foreclosed the possibility of ambitious proposals about what humans could achieve when they saw themselves as collectivities rather than solitary units navigating tightly prescribed systems.⁷¹

⁶⁶ At the 1953 AEA meeting, these included figures like William Fellner and Gottfried Haberler. The most notable free-market economists with émigré backgrounds are Friedrich Hayek and Ludwig von Mises. For a discussion of the role of émigrés in American social thought see Stuart H. Hughes, *The Sea Change: The Migration of Social Thought, 1930–1965* (New York, 1975).

⁶⁷ At the 1953 AEA meeting, this included figures like G. Warren Nutter. Mirowski, *Machine Dreams*; David Hounshell, "The Cold War, RAND, and the Generation of Knowledge, 1946–1962," *Historical Studies in the Physical and Biological Sciences* 27 (1997), 237–67; S. M. Amadae, *Rationalizing Capitalist Democracy: The Cold War Origins of Rational Choice Liberalism* (Chicago, 2003); Solovey, *Shaky Foundations*; Joy Rohde, *Armed with Expertise: The Militarization of American Social Research during the Cold War* (Ithaca, 2013); Erickson et al., *How Reason Almost Lost Its Mind*.

⁶⁸ Cf. note 15 above.

⁶⁹ James M. Buchanan, J. Curt Victorius, and Howard R. Bowen, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 228–35, at 231.

⁷⁰ Brick, *Transcending Capitalism*; Rodgers, *Age of Fracture*; William H. Sewell Jr, "Whatever Happened to the 'Social' in Social History?" in Joan Scott and Debra Keates, eds., *Schools of Thought: Twenty-Five Years of Interpretive Social Science* (Princeton, 2001), 209–26.

⁷¹ Hunter Crowther-Heyck, *Age of System: Understanding the Development of Modern Social Science* (Baltimore, 2015); Erickson et al., *How Reason Almost Lost Its Mind*.

The seeds for this dramatic shift in social thought were planted decades earlier, however, argues Dorothy Ross. It was in the long 1950s that “communal-governmental vision[s] of the social unraveled and the project to socialize liberalism decisively changed direction.”⁷² Ross demonstrates the ways in which totalitarianism was weaponized to legitimate critiques of socially progressive ideals, and how it served as a forceful filter for political discussion, even through the momentous 1960s. “With totalitarianism now constructed as America’s Other, liberal theory revived and re-anchored society in liberalism’s foundational political individualism, and recast conceptions of the social to fit within that narrowed space.”⁷³ In other words, a transmuted liberalism (“neo-”liberalism) was taking hold in the Cold War era, as social thinkers shied away from mutualism in their intellectual works. Such withdrawals were not always conscious or intentional.

In the early years of the Cold War, the Second Red Scare had reached a fever pitch with the hysteria of Senator Joseph McCarthy’s investigations and the hearings conducted by the House Un-American Activities Committee. Anticommunism had migrated from a fringe element of American intellectual life to informing its federal channels of power, its very core.⁷⁴ The effect, in the words of one historian, was to “unmake the New Deal left,” placing any reform-oriented social liberal proposals as points on the slippery slope to totalitarianism.⁷⁵ In an era of loyalty oaths, public humiliation, and threats of exile and violence, “many liberals and leftists sought more to differentiate their ideas from communism than to make bold bids for social reconstruction.”⁷⁶

A year after *American Capitalism*’s publication, Galbraith noted an “admitted increase in conformist and repressive pressures ... a conservative press ... and pallid dissent” when asked “what has happened to liberalism?”⁷⁷ And yet, according to his biographer Richard Parker, Galbraith continued to judge the “dark belief” that welfare measures would lead inevitably to serfdom as “an anachronism hardly worthy of comment,” a view that Parker says Galbraith did not seriously revise until the Reagan era.⁷⁸ Indeed, decades later, Galbraith would concede that it would be a “mistake to make light of [anticommunist] fears in their time ... they were, or certainly seemed, very real.”⁷⁹ In the early 1950s, Galbraith viewed a “leaning over backward not to be wrong about Russia” as mainly a foreign-policy issue and doubted that it had serious

⁷²Dorothy Ross, “Whatever Happened to the Social in American Social Thought? Part 1,” *Modern Intellectual History* 18/4 (2021), 1155–77, at 1167.

⁷³Dorothy Ross, “Whatever Happened to the Social in American Social Thought? Part 2,” *Modern Intellectual History* 19/1 (2022), 268–96, at 290.

⁷⁴Lawrence S. Wittner, *Cold War America: From Hiroshima to Watergate* (New York, 1978).

⁷⁵Landon R. Y. Storrs, *The Second Red Scare and the Unmaking of the New Deal Left* (Princeton, 2013); Ellen Schrecker, *Many Are the Crimes: McCarthyism in America* (Boston, 1998); Schrecker, *The Lost Promise: American Universities in the 1960s* (Chicago, 2021).

⁷⁶Brick, *Transcending Capitalism*, 153.

⁷⁷“What Has Happened to Liberalism?”, 1953 typescript, Series 09.3, Box 0861, Galbraith Papers.

⁷⁸Parker, *John Kenneth Galbraith*, 237.

⁷⁹“Institutional Thought,” undated typescript, Series 09.3, Box 0932, Galbraith Papers. Though the document is undated, mention of the end of the Vietnam War in the script suggests that it is from the mid-1970s at the earliest.

consequences “on domestic questions with which I am concerned.”⁸⁰ If this expressed view reflected what Galbraith truly believed, this suggests that perhaps he did not fully appreciate the grip that anticommunism held on Americans in the postwar period and how such sentiments would influence the trajectory of American political development, including the fate of his own ideas. From the 1950s to the 1970s, far-right extremists, US Senators, and academic economists would secretly offer information on Galbraith to FBI director J. Edgar Hoover, resulting in an eight-inch-thick security file on Galbraith (but never a formal investigation).⁸¹

In a 1958 televised interview with Sir Huston Smith as a part of the *Search for America* series, Galbraith was asked questions that ostensibly captured the concerns about political economy plaguing the minds of everyday citizens. “*Is it possible to establish a line up to which the government should intervene in our economy but beyond which it should not go?*” and “*Do you think our government has intervened too far in our economy to date?*” Galbraith was probed. “Ah, these questions are getting more and more, uh, penetrating,” responded a mildly flustered Galbraith when Smith inquired, “*are all the capitalisms in the world becoming more socialistic?*” When asked about the biggest public misconception regarding the economy, Galbraith said that it was that any modification of the capitalist system would lead to socialism; the capitalist system was, in Galbraith’s view, a “very rugged piece of machinery,” capable of meeting the twin tasks of economic prosperity and social welfare.⁸²

Here, the irony becomes apparent: while those on the right were quick to paint Galbraith as a red, Galbraith himself was at pains to elaborate the strength of capitalism. His social liberalism was *not* socialism or communism, made apparent by his leadership in the Americans for Democratic Action along with his friend Arthur Schlesinger Jr, his participation in the CIA-backed Congress for Cultural Freedom, and his ambassadorship to India under John F. Kennedy at a time when Prime Minister Nehru was artfully adhering to a policy of neutralism between the Soviet Union and the United States. Galbraith may have exhibited some coyness about the influence of anticommunism on his book’s reception, but it is clear that he was involved in anti-communist posturing himself, *especially* in the 1950s and 1960s.⁸³ By 1973, Galbraith was to advocate for a “new socialism” (social democratic rather than Marxist or revolutionary in the traditional sense), but at the time of conceptualizing countervailing power, Galbraith certainly saw it as a feature and strength of *capitalist* enterprise.⁸⁴ As

⁸⁰ Galbraith, “What Has Happened to Liberalism.”

⁸¹ John Kenneth Galbraith and Andrea D. Williams, *Annals of an Abiding Liberal* (Boston, 1979), 15.

⁸² Vedanta Video, “Search for America: Our National Economy with John Kenneth Galbraith and Paul Samuelson,” 23 March 2020, television recording, 10:34 to 25:07, at www.youtube.com/watch?v=W2tLyZ6cSOU.

⁸³ Kevin Mattson, *When America Was Great: The Fighting Faith of Postwar Liberalism* (London, 2004).

⁸⁴ It was thus understandably criticized by radicals and leftists. For instance, Bernard Rosenberg in *Dissent* called it “the economics of self-congratulation” suited for the “hard-boiled eggheads of what might be called the devitalized center.” *The Vital Center*, by Galbraith’s friend Schlesinger, was published in 1949. Bernard Rosenberg, “The Economics of Self-Congratulation,” *Dissent Magazine*, Winter 1954, 92–102.

one early reviewer of *American Capitalism* claimed, “no one could possibly accuse J. K. Galbraith of being a carrier of ‘creeping Socialism.’”⁸⁵

If Galbraith’s critics could agree with him that capitalism was not so bad, they were less likely to echo Galbraith’s stance that government could help secure its promise. Galbraith noted that support for public services had been replaced by support for private goods, because private production, he argued, “raised no specter of serfdom, socialism, or other economic perdition.”⁸⁶ In the postwar period, championing free enterprise and a consumerist economy had become associated with the “American way.” According to some scholars, consumerism served as the new basis for general consensus.⁸⁷ All Americans were sovereign consumers, a far more peaceful picture of economic agents than the one imagined by Galbraith’s universe of competing interests and countervailing powers. And pushing this rhetorical and symbolic understanding of consumerism was, unsurprisingly, business interests.⁸⁸

Rather than casting democracy as the essential counterimage to totalitarianism, a majority of mid-century American liberals emphasized individual liberty and capitalism as the beating heart of the liberal faith.⁸⁹ And yet freedom, according to Galbraith, was a “multidimensional conflict” involving both choice and the scope for choice; he argued that the government was not the antithesis to liberty but rather, often, a guarantor of it.⁹⁰ Nevertheless, Galbraith’s view of freedom would not fit with the dichotomy of market versus state that was heavily trafficked in postwar American culture.

Despite the growing skepticism toward big government in the 1950s, many economists were not immediately converted to the doctrine of antigovernment and free markets. Of course, their own influence in government at a time where economic policy making was still dominated by the Keynesian paradigm meant that they were not wholesale dissenters to a political culture driven by administration. But many of these economists, such as the AEA’s president Calvin Hoover, also had anxieties about moving away from competition as a disciplinary standard. Hoover did not reject Galbraith’s hypothesis of countervailing powers, nor Galbraith’s assessment that the American economy had diverged fundamentally from the classical model. He in fact *agreed* with

⁸⁵ Clarence E. Ayres, “The Grown-Up Boss,” *New York Sunday Review of Literature*, 12 April 1952, Series 03, Box 0011, Galbraith Papers.

⁸⁶ “Economic Progress and the Problem of Priorities,” April 1955 class lecture typescript, Series 09.3, Box 0861, Galbraith Papers.

⁸⁷ Lizabeth Cohen, *A Consumer’s Republic: The Politics of Mass Consumption in Postwar America* (New York, 2003); Wendy Wall, *Inventing the “American Way”: The Politics of Consensus from the New Deal to the Civil Rights Movement* (Oxford, 2008).

⁸⁸ Lawrence B. Glickman, *Free Enterprise: An American History* (New Haven, 2019).

⁸⁹ Ross, “Whatever Happened to the Social in American Social Thought?,” Parts 1 and 2; Benjamin L. Alpers, *Dictators, Democracy and American Culture: Envisioning the Totalitarian Enemy, 1920s–1950s* (Chapel Hill, 2003); Jonathan Bell, *The Liberal State on Trial: The Cold War and American Politics in the Truman Years* (New York, 2004); David Ciepley, *Liberalism in the Shadow of Totalitarianism* (Cambridge, MA, 2006).

⁹⁰ “Government can enlarge the area of freedom in many ways—by employment policy, by restraining the strong, and assisting the defenses of the weak.” From “On Economic Freedom,” October 1954 speech typescript, and “Nature of Economic Freedom,” 1953 speech typescript, Series 09.3, Box 0861, Galbraith Papers.

Galbraith.⁹¹ He expressed as much in his presidential address to the AEA. “We can say that by the beginning of World War I our economy had become sufficiently characterized by concentration in industry, imperfect competition, oligopoly, administered industrial prices, price leadership and other departures from or modifications of the rule of the free, fully competitive market for us to consider the change fundamental,” he declared. Yet Hoover also conceded that “competition, *if we stretch the term enough*, covers almost completely some aspects of our economy and affects in some degree every part of it.”⁹²

Regardless of how one chose to define American capitalism or the nature of competition within it, however, what did not change was its superior status to alternative systems. Hoover concluded his speech with the following statement: “Of far greater importance than what we call our economic system is the fact that, whatever the logical difficulties in analyzing it and in characterizing it, this organizational economy has, up to now, served us far better both in terms of goods produced and ... human liberties preserved *than has any other system, in any other country*.”⁹³ Thus the comparative glance, the stoking of totalitarian fears, played an important hand in the fate of Galbraith’s theory. Born amidst a climate of anxiety, conformism, and an international conflict with a symbolic Other, a theory that gave importance to domestic power struggles and the principled involvement of government did not find many enthusiastic endorsements. Like other social scientists with progressive visions at mid-century, Galbraith saw his work “constrained by the political horizons of American empire.”⁹⁴

While Galbraith’s concept did not gain traction among mainstream economists, the 1950s were by no means a period lacking in theoretical innovations within the discipline. While the focus of this article has thus far been on what the postwar period *prohibited*, a fuller picture of the context of the debate must include what this period instead *enabled*. I shift now to a discussion of how economic method was transformed following World War II, starting first with where our story began, at the Statler.

The methodological “blasphemies” of countervailing power

According to news coverage of Galbraith’s panel at the 1953 AEA meeting, the most relentless critique of countervailing power was delivered by George Stigler.⁹⁵ In a paper cleverly titled “The Economist Plays with Blocs,” Stigler tested what he saw as

⁹¹“I have just read with the greatest appreciation your brilliant Concept of Countervailing Power,” wrote Hoover in a congratulatory letter to Galbraith three months after *American Capitalism*’s publication. “It will be, I think, immensely useful. My own ideas have been running in much the same direction for a long time.” Letter, Hoover to Galbraith, 25 April 1952, Series 03, Box 0010, Galbraith Papers.

⁹²Hoover, “Institutional and Theoretical Implications of Economic Change,” 10, added emphasis.

⁹³*Ibid.*, 14, emphasis added.

⁹⁴Zachary D. Carter, *The Price of Peace: Money, Democracy, and the Life of John Maynard Keynes* (New York, 2020), 188–9. See also Mark Solovey and Hamilton Cravens, eds., *Cold War Social Science: Knowledge Production, Liberal Democracy, and Human Nature* (New York, 2012); Joel Isaac and Duncan Bell, eds., *Uncertain Empire: American History and the Idea of the Cold War* (New York, 2012); Nils Gilman, “The Cold War as Intellectual Force Field,” *Modern Intellectual History* 13/2 (2016), 507–23.

⁹⁵“When Galbraith Stood Up to Economists Clobbering Theory,” *Businessweek*, 9 Jan. 1954, 92–4. Stigler had previously expressed his misgivings with Galbraith’s perspective in his critique of the AEA’s 1948

Galbraith's two key claims against "the empirical evidence." Both claims, namely that countervailing power arose as a natural response to market concentration and that its presence led to socially useful outcomes, were ultimately rejected by Stigler. For the two main areas in which Galbraith identified countervailing power—labor unions and retail trade—Stigler found contradictory examples; not only was countervailing power *not* a comprehensive explanation of American industry, said Stigler, it was "the exception to the rule."⁹⁶

The rule, of course, was competition, and Stigler was vigorously committed to its defense throughout his career. Trained under Frank Knight and Jacob Viner at the University of Chicago, Stigler was steeped in a commitment to the neoclassical framework and belief in a tight prior equilibrium.⁹⁷ Before Galbraith's theory, Stigler had criticized other studies that challenged the automaticity of competitive markets.⁹⁸ He lamented the rise of Keynesian ideas, which he saw as producing "a bundle of paradoxes and heresies," and remained committed to classical liberal ideas of limited government and individual liberties as a core member of the Mont Pelerin Society.⁹⁹

While his political commitments diverged considerably from Galbraith's, Stigler's critique at the 1953 panel did not advance an argument for the ethical superiority of the free-enterprise system. Stigler's own politics could be glimpsed when he questioned "the desirability of this type of organization" in his discussion of "government-sponsored" labor unions, but his rejection of Galbraith's thesis was crafted primarily on empirical grounds. Galbraith's attempt to reclassify the evolution of American economic structure was "ambitious," but ultimately "romantic," for it failed to disclose its "logical antecedents" and lacked "rational development." After conducting his empirical tests, Stigler deemed it "premature and even irresponsible to talk in detail of possible policy applications of so tentative and unpalatable [*sic*] a hypothesis." In Stigler's assessment, countervailing power was not a market force but rather the consequence of the interventionist policies that Galbraith evidently supported. His ill-formed idea could be dismissed by his peers, because it was not motivated by rigor and technicality (which economists ought to be motivated by), but by politics. Countervailing power, Stigler posited, could very well be viewed as "a political rather than an economic dogma."¹⁰⁰

Stigler was not the only discussant to label Galbraith's work political rather than economic. "All political power is countervailing power in that it exists to push against any obstacle between desire and fulfillment," said Adelman, questioning whether Galbraith had really identified a distinctive concept of power. "There seems no need

Survey of Contemporary Economics. See Stigler, "A Survey of Contemporary Economics," *Journal of Political Economy* 42/2 (1949), 93–105.

⁹⁶ Stigler, "The Economist Plays with Blocs," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 7–14, at 11.

⁹⁷ For core tenets of the Chicago approach see Marvin W. Reder, "Chicago Economics: Permanence and Change," *Journal of Economic Literature* 20/3 (1982), 1–38; Robert van Horn, Philip Mirowski, and Thomas A. Stapleford, *Building Chicago Economics: New Perspectives on the History of America's Most Powerful Economics Program* (Cambridge, 2011).

⁹⁸ See Harold Demsetz, "George J. Stigler: Midcentury Neoclassicalist with a Passion to Quantify," *Journal of Political Economy* 101/5 (1993), 793–817.

⁹⁹ George J. Stigler, *Memoirs of an Unregulated Economist* (New York, 1988), 213.

¹⁰⁰ Stigler, "The Economist Plays with Blocs," 11.

to postulate any original power to countervail against,” Adelman further wrote, dismissing Galbraith’s work as “purely political” and therefore not of relevance to serious economists.¹⁰¹ Given that Galbraith wore his political commitments on his sleeve, the charge that his theoretical work was politically inspired was perhaps inevitable. But this characterization of Galbraith’s efforts was not merely an ad hominem; it was also an act of boundary work. Miller, the only discussant to recognize that power could be an important dimension of analysis for economists, nevertheless concluded that “we do not have the tools to do it and it is questionable whether our associates in the other social sciences are as yet well prepared.”¹⁰² Miller admitted that labor unions and agricultural policies could have achieved Galbraith’s new welfare criteria of social harmony, but unfortunately Galbraith had failed to “marshal the evidence.” Galbraith’s “reification of the relations” in American agriculture and industry “may be good politics” but was not “good analysis,” Miller further stated.¹⁰³ These retorts emphasized a particular image and methodology of the ideal economist, relegating such issues as political power to falling beyond the confines of the discipline.

Stigler’s critique that countervailing power was insufficiently widespread to constitute a generalizable theory was a charge that Galbraith frequently fielded. Since *American Capitalism*’s argument was constructed mainly through discussion of personal observations and illustrative examples, reviewers and correspondents could poke holes in the theory by pointing to observations of their own.¹⁰⁴ Packaged in such a way as to be accessible to the nontechnical reader, this meant that Galbraith received illuminating counterexamples from lawyers, farmers, union leaders, and other noneconomists.¹⁰⁵ Typically, these were shared as resources for Galbraith to add further nuance to his concept. But in some cases, counterexamples were used to posit that countervailing power was a fruitless idea entirely. Galbraith took issue with this view, for he saw it as one of the essential flaws of the prevailing orthodoxy. If competition was not dismissed for failing to apply universally, why should countervailing power? In a response to a review written by the dean of the Business School at Syracuse University a month before the AEA meeting, Galbraith wrote,

I wonder if my generalizations are in fact as broad as are customary in our field. In any case, I surely avoid one of the oldest simplifications of economics which is to assume one level of markets in which producers sell to consumers. In dealing with hierarchies of markets I am surely coming a good deal more closely to reality than is customary in theoretical discussion.¹⁰⁶

¹⁰¹Wright, Kottke, and Adelman, “Discussion,” 34.

¹⁰²John Perry Miller, “Competition and Countervailing Power: Their Roles in the American Economy,” in American Economic Association, “Papers and Proceedings of the Sixty-Sixth Annual Meeting,” 15–25, at 20.

¹⁰³*Ibid.*, 21.

¹⁰⁴For a related philosophy of economics argument about experiential knowledge and “voice,” see Morgan, “‘Voice’ and the Facts and Observations of Experience,” in Peter Howlett and Mary S. Morgan, eds., *How Well Do Facts Travel? The Dissemination of Reliable Knowledge* (Cambridge, 2010), 51–69.

¹⁰⁵Many of these reader letters can be found in Series 03, Box 0010 and Box 0011, Galbraith Papers.

¹⁰⁶Letter, Galbraith to Morris E. Hurley, 19 Jan. 1954, Series 03, Box 0011, Galbraith Papers.

Kottke's comments on the AEA panel provided some reasoning as to why generalization was permissible under a competitive framework but not a countervailing-power framework. "Firms in competitive markets have so little discretion to follow an independent price policy or to ignore improvements in technique that it is possible to simplify discussions by the assumption that they have no discretion whatever," Kottke claimed. In other words, the elimination of power as a variable *allowed* for generalization. On the other hand, a theory of bilateral power positions could not be formulated "in the precise and elaborate manner of the theory of competition."¹⁰⁷ Competition was, in Kottke's view, theoretically convenient.

This position was taken by numerous economists throughout the 1953 AEA program. While some economists—like Nutter and Harberger, discussed above—sought to argue that competition remained an apt description for the American economy, others maintained that descriptive accuracy was not in fact the purpose of economic theory. This argument was famously made by Milton Friedman in his 1953 "Methodology of Positive Economics," claiming that the purpose of economic theory should be aimed at predictive capacity, logical simplicity, and formal elegance.¹⁰⁸ Though Friedman did not present a paper at the 1953 AEA meeting, his philosophy on method was represented by other economists friendly to his position.¹⁰⁹ Buchanan, for instance, opened his comments for a session on trade unionism with the assertion that "the sole test of the true realism of theory lies in its ability to help us make predictions." He further explained that theories of perfect competition or perfect monopoly "may be discarded only if and when other theories appear which provide better results."¹¹⁰ In a different session on interregional economic diversity, Ben Rogge posited that deviations from the classical assumptions in the actual economy made "the classical policy warnings more rather than less significant."¹¹¹ True wisdom was found in classical economics, which still informed the core of neoclassical economics and the neoclassical–Keynesian synthesis. Following classical prescriptions would yield analytically powerful results and hence concise policy prescriptions. Elsewhere, John H. Adler put the sentiment in more colorful language. "The simple forms of the classical gown, though ornamented nowadays with curlicues of propensities and multipliers, is still worn at all occasions, by friend and foe alike, simply because no other garb covering all limbs has been designed as yet."¹¹² Theories like Galbraith's countervailing-power hypothesis may have been illuminating for some corners of American economic life, but nothing would be as universally applicable or theoretically

¹⁰⁷Wright, Kottke, and Adelman, "Discussion," 32.

¹⁰⁸Milton Friedman, "The Methodology of Positive Economics," reprinted in Uskali Mäki, ed., *The Methodology of Positive Economics: Reflections on the Milton Friedman Legacy* (Cambridge, 2009), 3–42.

¹⁰⁹Notably, Friedman was Calvin Hoover's first choice to present the opposing view on Galbraith's panel. However, since Friedman was out of the country at the time, Stigler was invited. Box 49, Hoover Papers.

¹¹⁰Buchanan, Victorius, and Bowen, "Discussion," 228.

¹¹¹J. Fred Holly, Ben A. Rogge, and Louis B. Perry, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 393–401, at 398.

¹¹²John H. Adler and George A. Elliot, "Discussion," in American Economic Association, "Papers and Proceedings of the Sixty-Sixth Annual Meeting," 565–9, at 565.

comprehensive as the tools economists inherited from classical and neoclassical forebears. As more economists coalesced around this understanding, they concretized the transition from “interwar pluralism to postwar neoclassicism,” crowding out an earlier brand of economic theorizing and methodology that typified Galbraith’s work.¹¹³

The institutionalist and Keynesian paradigms

Galbraith’s vision of an activist state resulted from decades of New Deal and Fair Deal policy measures, measures that Galbraith and many of his peers present at the 1953 meeting (including Calvin Hoover) had been involved in. The interwar and World War II periods saw a dramatic rise in macroeconomic management by the government, guided by emerging tools of statistical inquiry and economic measurement.¹¹⁴ In one historical telling, this interventionism was linked with the rise of Keynesian ideas. To comprehend the Great Depression, British economist John Maynard Keynes had elaborated new understandings of the relationship between aggregate demand, economic output, unemployment, and inflation in his landmark 1936 *General Theory of Employment, Interest, and Money*. Keynes illustrated the volatility of demand, especially in times of recession, and suggested that carefully guided economic policy could play a critical role in stabilizing national economies. His principles were to become foundational among American economists, many of whom found new spaces to put their expertise into action at federal and state agencies.¹¹⁵ They were also accepted as necessary by much of the business community and left largely unchallenged by the Eisenhower administration.¹¹⁶

Galbraith embraced the new Keynesian ethos, but his approach held more in common with the tenets of an earlier set of related approaches now commonly referred to as American institutionalism.¹¹⁷ Pioneered by key figures of the early twentieth

¹¹³ See essays in Morgan and Rutherford, *From Interwar Pluralism to Postwar Neoclassicism*.

¹¹⁴ For an explanation of how the economy became a distinct and measurable phenomenon in this period see Timothy Shenk, “Inventing the American Economy,” in Romain Huret, Nelson Lichtenstein, and Jean-Christian Vinel, eds., *Capitalism Contested: The New Deal and Its Legacies* (Philadelphia, 2020), 42–58; Daniel A. Hirschman, “Inventing the Economy Or: How We Learned to Stop Worrying and Love the GDP” (unpublished Ph.D. thesis, University of Michigan, 2016).

¹¹⁵ James A. Smith, *The Idea Brokers: Think Tanks and the Rise of the New Policy Elite* (New York, 1991); Bernstein, *A Perilous Progress*; Carter, *Price of Peace*; Craufurd D. Goodwin, “The Patrons of Economics in a Time of Transformation,” *History of Political Economy* 30/4 (1998), 53–81.

¹¹⁶ Robert Collins, *The Business Response to Keynes, 1929–1964* (New York, 1981); Daniel Bell and Irving Kristol, eds., *The Crisis in Economic Theory* (New York, 1981); Peter A. Hall, *The Political Power of Economic Ideas: Keynesianism across Nations* (Princeton, 1989).

¹¹⁷ Yuval P. Yonay, *The Struggle over the Soul of Economics: Institutionalism and Neoclassical Economists in America between the Wars* (Princeton, 1998); Malcolm Rutherford, *The Institutional Movement in American Economics, 1918–1947: Science and Social Control* (Cambridge, 2011); Morgan and Rutherford, *From Interwar Pluralism to Postwar Neoclassicism*. For a comparison of “old” and “new” institutionalism in economic thought see Malcolm Rutherford, *Institutions in Economics: The Old and the New Institutionalism* (Cambridge, 1994); and Geoffrey M. Hodgson, “The Return of Institutional Economics,” in Neil J. Smelser and Richard Swedberg, eds., *The Handbook of Economic Sociology* (Princeton, 1994), 58–76. Self-identifying institutionalist economists who have claimed Galbraith as forebears include Allan G. Gruchy, *Modern Economic Thought* (New York, 1947); and John S. Gams, *John Kenneth Galbraith* (Woodbridge, CT, 1975).

century, including Thorstein Veblen, John R. Commons, and Wesley C. Mitchell, institutionalism prioritized observation and the evolutionary nature of economic change, and, according to one recent scholar, was grounded in pragmatist philosophy.¹¹⁸ Given the complexities and contingencies in economic life, institutionalists were critical of “leaving it to the market” and were inclined to support government intervention. Though institutionalism was a broad tent that included an array of methodologies, they most often relied on inductive or abductive as opposed to deductive reasoning.¹¹⁹ Put differently, most institutionalists preferred to derive generalizations from broad trends and patterns rather than assess reality through the lens of pre-developed postulates.¹²⁰ Calvin Hoover, who expressed enthusiasm for Galbraith’s work in private correspondence but not openly, was also trained as an institutionalist (under Commons). Nevertheless, Hoover’s and Galbraith’s methodological affinities would not be enough to overcome the political wedge drawn between them by Cold War anticommunism.¹²¹

Coalescence around a neoclassical paradigm

Later in his life, Galbraith was to describe Keynesian economics as a significant revision of classical macroeconomics, but argued that it essentially left the neoclassical core intact by providing no major amendments to Marshallian microeconomics. Indeed, American economists succeeded in reconciling Keynesian macroeconomic ideas with established microeconomic precepts into a “neoclassical synthesis” embodied most systematically in Paul Samuelson’s classic 1948 textbook.¹²² The Keynesian revolution in economics, in Galbraith’s interpretation, had not destroyed the “old regime.”¹²³ Universalizing assumptions about individual behavior aimed at utility maximization and self-interest continued to inform theoretical innovations, including the pathbreaking analyses of Lionel McKenzie, Gérard Debreu, and Kenneth Arrow that led to the immensely popular general-equilibrium (GE) theory. In GE models, markets would *always* clear, meaning that supply and demand would find their meeting points through natural forces, with no government interference necessary.¹²⁴ Market economies were capable of achieving perfect allocation, if left to their own devices. A selective reading of Arrow’s work on welfare economics provided fodder for those

¹¹⁸For the connection to the philosophical tradition of pragmatism see Hodgson, “From Veblen to Galbraith: What Is the Essence of Institutional Economics?”, in Michael Keaney, ed., *Economist with a Public Purpose: Essays in Honour of John Kenneth Galbraith* (London, 2001), 95–114.

¹¹⁹Philip Mirowski, “The Philosophical Bases of Institutional Economics,” *Journal of Economic Issues* 21/3 (1987), 1001–38.

¹²⁰Mary Morgan, *The World in the Model: How Economists Work and Think* (Cambridge, 2012).

¹²¹Hoover was a comparative economist and (concerned) scholar of Soviet Russia and Nazi Germany.

¹²²Paul Samuelson, *Economics*, (New York, 1948). See Carter, *Price of Peace*, for a discussion on the transformation of Keynesian ideas by American mathematical economists.

¹²³John Kenneth Galbraith, *A History of Economics: The Past as the Present* (Boston, 1987), 235–6.

¹²⁴For a history of general equilibrium theory see E. Roy Weintraub, *Microfoundations: The Compatibility of Microeconomics and Macroeconomics* (Cambridge, 1979); Weintraub, *General Equilibrium Analysis: Studies and Appraisal* (Cambridge, 1985); Weintraub, *Stabilizing Dynamics: Constructing Economic Knowledge* (Cambridge, 1991).

wishing to argue that markets were the most effective allocators of public welfare provisions.¹²⁵

Contrarily, the theory of countervailing power, though not stated by Galbraith explicitly, posed a challenge not only to the overall picture of the American economy, but also to some of its assumed microeconomic foundations. It denied the universality of competition as a regulatory mechanism, replaced the maximization of consumer welfare with the “minimization of social tensions” as a main purpose of economic activity, afforded agency to the role of the buyer, and disputed the idea that prices were expressions of unhampered supply and demand.¹²⁶

Importantly, it took aggregates of power—and not individual agents—as its units of analysis. In Galbraith’s universe of countervailing powers, “constant negotiation and bargaining in decision making ensured that goals and preferences were subject to frequent and dramatic reevaluation and change.”¹²⁷ This mode of inquiry contradicted numerous long-standing norms within his discipline; accepting it would have meant a considerable reevaluation of already entrenched practices. Alternative pathways identified by more “rigorous” economists like Kenneth Arrow and Paul Samuelson would ultimately seem more attractive to the profession, at a time when its priorities were shifting from ethics, reform, and reason to scientificity, rationality, and the maximization of efficiency.

Indeed, many historians of economics have documented the remarkable “formalist” and “mathematical revolutions” affecting economics in the postwar period.¹²⁸ While these revolutions took root in the early decades of the twentieth century, World War II and the postwar political climate intensified economists’ retreat into the technical. Such a move was promoted by the patrons of social science—including the military, philanthropic foundations, and think tanks—who demanded that their consultants exhibit practices of political objectivity and methodological instrumentality.¹²⁹ Even for their engagement in the public arena, economists began to adhere to standards of technicality and neutrality. “Postwar policymakers defined a much narrower economic role

¹²⁵ Amadae, *Rationalizing Capitalist Democracy*.

¹²⁶ Galbraith’s proposed alternative welfare standard was the minimization of social tensions. He argued that a decrease in efficiency was worth the cost if it increased social harmonies. “In our own time, however, we regularly reject the particular equilibrium test of maximized consumer well-being. We regularly accept measures which raise product prices to ameliorate the grievances or alleviate the tensions of some social group. And it is well that we do. An opulent society can afford to sacrifice material well-being for social contentment. Higher prices of coal or clothing we regard as a small price for freedom from disorder in the coal fields or destitution in the sweatshops.” From Galbraith, “Countervailing Power,” 3.

¹²⁷ Parker, *John Kenneth Galbraith*, 189.

¹²⁸ Some of most prominent arguments include Mark Blaug, “The Formalist Revolution of the 1950s,” *Journal of the History of Economic Thought* 25/2 (2003), 145–56; E. Roy Weintraub, *How Economics Became a Mathematical Science* (Durham, NC, 2002); Deirdre N. McCloskey, *Knowledge and Persuasion in Economics* (Cambridge, 2010); Morgan, *The World in the Model*. For an introspective analysis see Robert M. Solow, “How Did Economics Get That Way and What Way Did It Get?,” *Daedalus* 126/1 (1997), 39–58.

¹²⁹ Solovey, *Shaky Foundations*; Goodwin, “The Patrons of Economics in a Time of Transformation”; Michael A. Bernstein, “American Economics and the National Security State, 1941–1953,” *Radical History Review* 1/63 (1995), 9–26; Bernstein, *A Perilous Progress*; Mirowski, *Machine Dreams*; Amadae, *Rationalizing Capitalist Democracy*; Erickson et al., *How Reason Almost Lost Its Mind*.

for the federal government than advocates of national planning had foreseen in the 1930s, but the effect was to create a much more secure place for economists in the government and to justify their advisory role not in terms of generalized knowledge, but as a consequence of specific professional skills,” writes Richard Parker.¹³⁰ Moreover, it “became fashion to offer consensus advice,” unlike earlier generations of economists who were more vocal about their disagreements with government policies (especially those engaged in government service during the New Deal and Fair Deal eras).¹³¹ What made these professional standards desirable at this precise moment in time was that they evaded political controversy. In the pressure chamber created by Cold War anti-communism, “political economy” became economics, methodologically trimmed of its political edges. This was not a momentary mutation, but a defining one, straining out not only Galbraith’s idea of countervailing power but also any subsequent one bearing hints of progressive reform. What we now think it means to “think like an economist” was a meaning consolidated in the 1950s, under the disciplining force of the Second Red Scare.

Postwar economic “styles of reasoning” began to pervade other social sciences as well, in a trend some have referred to as “economics imperialism.”¹³² By the 1970s, for instance, “public administration” had given way to “public policy,” and fifteen of the twenty-two top law schools began requiring courses in economic theory.¹³³ In the social sciences more broadly, current issues of social or policy concern appeared less frequently as topics of discussion in leading journals—from about 20 percent of articles in the years leading up to 1950 to less than 5 percent in the years after.¹³⁴ These trends support, for the social sciences at least, Ross’s thesis that the “thinning” of American social thought occurred not in the 1970s, but in the long 1950s. For economics, this contraction in the territory of economic analysis was calcified not only through the political discourses occurring in the period, but through the translation of those politics into something more enduring: method.

Conclusion

Optimization models, linear programming, operations research, game theory, general equilibrium—these were all notable conceptual innovations in economics that we inherit from (mostly) American economists in the 1950s. A significant amount of scholarship has explored the developments of these programs, which involved many economists, policy makers, and funding bodies. But what of the theories that failed to

¹³⁰Parker, *John Kenneth Galbraith*, 170. See also Berman, *Thinking Like an Economist*.

¹³¹Morgan and Rutherford, “American Economics,” 9.

¹³²Uskali Mäki, “Economics Imperialism: Concept and Constraints,” *Philosophy of the Social Sciences* 39/3 (2009), 351–80; Elizabeth Popp Berman and Daniel Hirschman, “Do Economists Make Policies? On the Political Effects of Economics,” *Socio-economic Review* 12/4 (2014), 779–811; Berman, *Thinking Like an Economist*.

¹³³Simon Torracinta, “Bad Economics,” *Boston Review*, 9 March 2022, at www.bostonreview.net/articles/bad-economics.

¹³⁴Crowther-Heyck, *Age of System*, 18–19.

take hold, failed to gain allies? What of ideas like countervailing power, which were catalyzed in the same political crucible of the Cold War, and yet receive little attention from economists or historians today?

One lesson this resuscitation teaches us, I hope, is that it is worthwhile to interrogate the intimately entangled nature of politics and method for the history of the social sciences. As economists were gravitating toward the neoclassical paradigm in the 1950s, they were not, by necessity, consciously deviating from a left liberal politics to a free-market one. Very few economists in the 1950s could have predicted the remarkable changes in American politics that were to transpire as the twentieth century progressed from a New Deal order to a neoliberal order.¹³⁵ The political exigencies of the 1950s affected the way they approached their discipline, seeking both “tools for practical usage and neutral language for expression and safe professional argument.”¹³⁶ In order to stay relevant, secure funding, avoid political persecution, maintain their university positions, and affirm their patriotism, the vast majority of American economists found sanctuary in the neoclassical apparatus and its idealization of free competition.

But the distinction between politics and method remains key if we wish to understand the fate of countervailing power and other progressive economic ideas. The distinction helps explain the irony behind a quintessentially neoclassical economist like Paul Samuelson chiding his fellow economists for not paying enough attention to Galbraith during his 1961 AEA presidential address, yet elsewhere questioning how “a jury [could] prove [Galbraith’s] attitudes and insight right or wrong.”¹³⁷ It can also add color to the case of Kenneth Arrow, whose impossibility theorem and rational-choice models became hallmarks of postwar neoclassicism, and yet who in 1978 made a “cautious case for socialism.”¹³⁸ “I do feel that there are few of the younger economists who have not made the market and property rights axiomatic rather than frequently but not universally useful instruments,” Arrow confessed to Galbraith in a 2005 letter. “I was talking recently to a very able economist, aged about 50. He said, ‘your generation was more interested in equality than ours; we think, ‘finders, keepers,’ plays a role.’” Arrow lamented this trend, and emphasized to Galbraith “the values which you and I hold in common.”¹³⁹ That economists like Samuelson and Arrow could diverge so significantly from Galbraith on method, but not necessarily on ethics and politics, raises questions about how we treat the ethics and politics of method in both historical research and contemporary society today.

In a foreword to a 1990 reprint of *American Capitalism*, Galbraith referred to his original text as “a book of its time and place.” He admitted in a 1997 interview that if he were advising any young economist entering the field, he would urge

¹³⁵Fraser and Gerstle, *The Rise and Fall of the New Deal Order*; Gerstle et al., *Beyond the New Deal Order*; Gerstle, *The Rise and Fall of the Neoliberal Order*.

¹³⁶Morgan and Rutherford, “American Economics,” 18.

¹³⁷Paul Samuelson, “Economists and the History of Ideas,” *American Economic Review* 52/1 (1962), 1–18, at 6; Samuelson, *Economics: An Introductory Analysis*, 10th edn (New York, 1976), 849.

¹³⁸Kenneth J. Arrow, “Cautious Case for Socialism,” *Dissent* 25 (1978), 472–80.

¹³⁹“Galbraith, John Kenneth, 1972–2006,” Box 6, Correspondence Series, Kenneth J. Arrow Papers, David M. Rubenstein Rare Book and Manuscript Library, Duke University, Durham, NC.

them not to follow the route he himself took.¹⁴⁰ Although Galbraith was one of the most notable economists in the public sphere in the latter half of the twentieth century, few economists today are familiar with his theoretical arguments (and if they are, they almost certainly do not discover Galbraith through their standard economics curriculums). Indeed, in an analysis of modern economic textbooks, one scholar found no references to Galbraithian concepts; “his ideas are still too radical to be regarded as part of the canon.”¹⁴¹ But as this article has queried, how “radical” was Galbraith really in 1952, and do we mean “radical” in terms of method, or politics? Framing Galbraith as an individual whose ideas were in contest with those of influential figures like Milton Friedman or George Stigler misses important dimensions of how the debate around countervailing power was actually mediated.

American political culture in the postwar period was significantly more textured than the two poles of debate suggest. Most economic thinkers found themselves somewhere between the spectrum of Galbraithian and Friedmanite politics, and their actions (or inactions) decisively shaped the trajectory of economic method and the space granted for ethical inquiry thereafter. As the historical episode in this article has demonstrated, the 1950s fostered an anxious middle ground that crucially played a hand, as much as Galbraith or the Chicago school themselves, in determining the fate of economic ideas like countervailing power. It was what economists held in common—not merely their disagreements—that influenced the path of change. And what nearly all agreed on was this: that totalitarianism was far from a desirable way of life, that the preservation of American ideals was paramount, and that economic expertise could play a role in such safeguarding through the development of “neutral” methods. Economists then may not have understood what only the anguished eye of history submits to us now—that fear of failure can be as potent a force in the history of knowledge as a spirited quest for truth. For a discipline still preoccupied with analyzing individual agents and “microfounding” social phenomena, the acknowledgment that its own history abounds with the imprints of collective sentiments may be uncomfortable for economists today. And yet this acknowledgment is essential if we wish to have an economics aligned with the collective sentiments of our own day and age.

Acknowledgments. Many kind and thoughtful readers engaged with this paper through its numerous stages. In particular, Angus Burgin, Alexandre Chirat, Glory Liu, Dorothy Ross, Nicolas Jabko, Lou Galambos, Ali Khan, Bruce Caldwell, Steve Medema, and reviewers at *Modern Intellectual History* honored me with their constructive questions and brilliant suggestions. This article began as a first-year paper, a tradition for new doctoral students in the Johns Hopkins History Department. To that end, my JHU colleagues, especially those in the Modern America seminar, provided much-needed guidance, friendship, and assurance through the difficult process of producing research at a time of profound self-doubt. Chloe Hawkey and Ellie Palazzolo deserve special mention. Additionally, Jamie Galbraith and Richard Parker offered encouraging feedback, and graciously attended meetings of an international Galbraith reading group.

¹⁴⁰“Interview: John Kenneth Galbraith,” *World Economic Affairs* 1/3 (1997), 34–6.

¹⁴¹Stefan Kesting, “John Kenneth Galbraith: A Radical Economist?,” *International Journal of Social Economics* 37/3 (2010), 179–96, at 182.

begun by my friend Nic Johnson and myself in 2022. Ultimately, I am indebted to this article itself, and the generous, warmhearted intellectual community that emerged around it, a community for which I remain immeasurably grateful.

Competing interests. The author declares none.